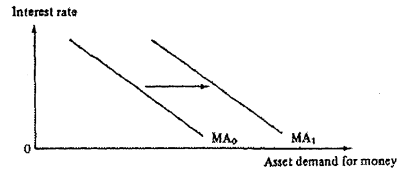


5.2 MONEY DEMAND

Multiple Choice Questions

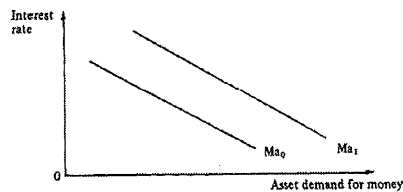
1990/AL/II/13



Which of the following correctly explains the rightward shift of the asset demand function from MA_0 to MA_1 ?

- A. a rise in the interest rate
- B. a rise in investment
- C. an increase in the sale of government bonds
- D. a rise in the risk of holding bonds

1991/AL/II/15



Which of the following correctly explains the shift of the asset demand for money curve from MA_0 to MA_1 ?

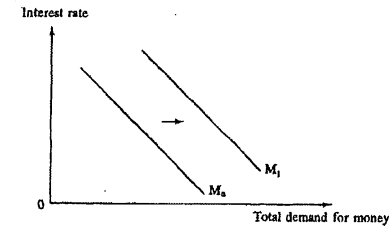
- (1) a fall in the interest rate
 - (2) a preference for higher liquidity
 - (3) a widespread use of credit cards
 - (4) expectations of a fall in bond prices
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (4) only
 - D. (3) and (4) only

1993/AL/II/28

Which of the following about money demand is **NOT** true?

- A. It is positively related with the anticipated inflation rate.
- B. It is positively related with wealth.
- C. It is negatively related with the real rate of interest.
- D. It is positively related with income.

1995/AL/II/14



Refer to the above diagram. Which of the following correctly explains the shift of the total demand for money curve from M_0 to M_1 ?

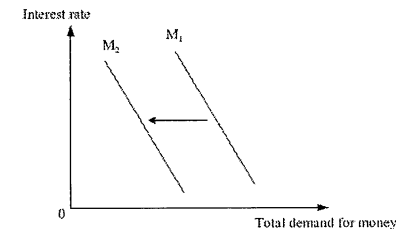
- A. a fall in the interest rate
- B. a rise in national income
- C. expectations of a rise in bond prices
- D. a purchase of bonds by the government in the open market

1995/AL/II/15

If people expect a rise in the market rate of interest, they will hold _____ money for asset purposes as bond prices will _____ and they will tend to buy _____ bonds.

- A. more rise more
- B. more fall less
- C. less rise more
- D. less fall less

2001/AL/II/22



Refer to the above diagram. Which of the following can explain the shift of the total demand for money curve from M_1 to M_2 ?

- (1) a rise in the interest rate
 - (2) more shops accepting the Easy Pay System (EPS) payment method
 - (3) a fall in the national income
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

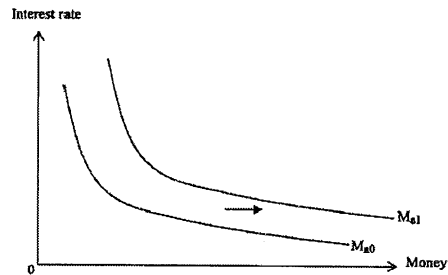
2005/AL/II/15

Which of the following can explain the rightward shift of the total demand for money curve?

- A. more extensive use of credit cards
- B. an increase in the velocity of circulation of money
- C. a fall in interest rates
- D. higher risk of holding bonds

2008/AL/II/20

Refer to the following diagram.



The asset demand for money will shift from M_{a0} to M_{a1} when

- A. income increases.
- B. the interest rate decreases.
- C. the general price level increases.
- D. the interest rate is expected to increase.

2009/AL/II/15

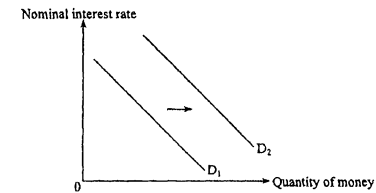
Which of the following statements about money demand is true?

- (1) Transaction demand for money tends to be more stable than asset demand for money.
- (2) The shorter the time interval between wage receipts, the higher the transaction demand for money.
- (3) The higher the volatility of the financial market, the higher the asset demand for money.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2013/DSE/I/27

Refer to the following diagram.

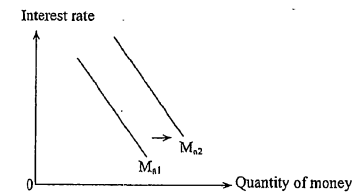


Which of the following will cause the money demand curve to shift from D_1 to D_2 ?

- A. a fall in the nominal interest rate
- B. a rise in national income
- C. more widespread use of electronic money
- D. an open market purchase of bonds by the central bank

2015/DSE/I/28

Refer to the following diagram.

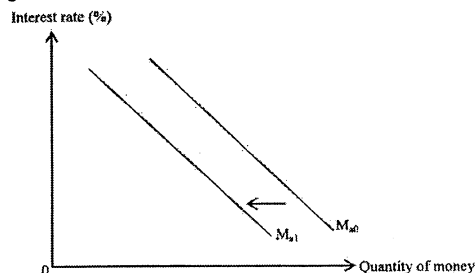


The curve of asset demand for money will shift from M_{a1} to M_{a2} when

- A. the risk of investing in the stock market increases.
- B. the interest rate decreases.
- C. the general price level rises.
- D. the government reduces the income tax rate.

2016/DSE/I/29

Refer to the following diagram.

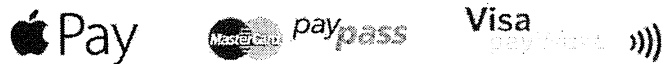


Which of the following would lead to the above change in the asset demand for money curve?

- A. The stock market becomes less volatile.
- B. The general price level is expected to fall continuously.
- C. The central bank raises the discount rate.
- D. There is a fall in disposable income of households.

2017/DSE/I/30

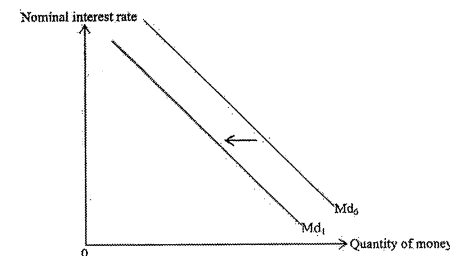
Electronic payment systems allow customers to pay without cash. ApplePay, Visa payWave and MasterCard paypass are some of the examples.



When more shops accept these electronic payment systems as a method of payment,

- (1) their cost of handling coins and notes will fall.
 - (2) the actual banking multiplier may increase.
 - (3) transactions demand for money will increase.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2018/DSE/I/29

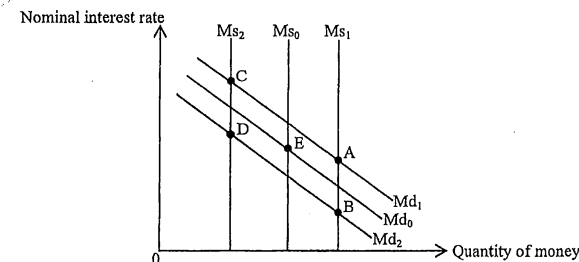


Which of the following would result in the above change in money demand?

- A. The central bank issues larger denomination banknotes for circulation.
- B. The expected inflation rate drops.
- C. The risk of investing in stock market decreases.
- D. Security problems have been found in the major electronic payment system.

2019/DSE/I/33

The diagram below shows the money supply and money demand curves of an economy. The original equilibrium point is at E.

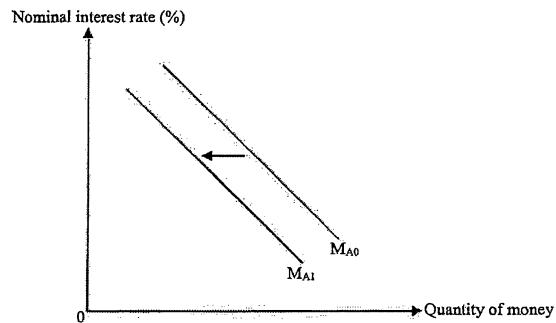


Suppose electronic payments become more common, and the central bank increases the legal reserve ratio of the commercial banks. The new equilibrium point will be at ____.

- A. A
- B. B
- C. C
- D. D

2020/DSE/I/28

The following diagram shows the asset demand for money of an economy.

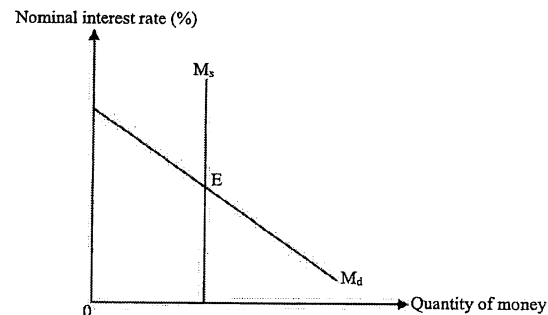


Which of the following will cause the above change in asset demand for money?

- A. The nominal interest rate increases.
- B. There is a contraction of monetary base.
- C. The use of electronic wallets such as Alipay (支付宝) becomes more popular.
- D. The expected rate of return of holding bonds increases.

2020/DSE/I/31

The following diagram indicates the money supply curve (M_s) and money demand curve (M_d) of a certain economy. Suppose the initial equilibrium point is at E.



If the income of the public increases and the central bank sells government bonds to the public, the interest rate _____ and the quantity of money _____.

- A. will decrease.....will increase
- B. will increase.....may increase or decrease
- C. may increase or decrease.....will decrease
- D. will increase.....will decrease

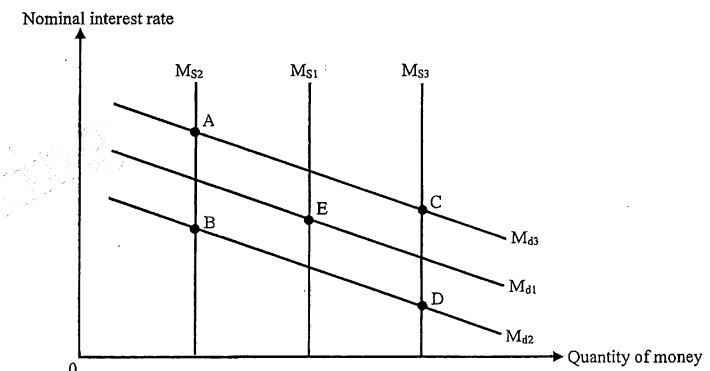
2020/DSE/I/37

An economist said, 'The continuous fall in stock prices in our country has already affected the consumption expenditure as well as the money demand. We should implement a policy to relieve the effects on the output level and the interest rate.' Which of the following policies can stabilise the output level and the interest rate in the country at the same time in the short run? (Assume the interest rate is mainly affected by the asset demand for money in this case.)

- A. The government increases cash subsidy to the poor.
- B. The government gives tariff exemption to the imports of goods.
- C. The central bank instructs the commercial banks to tighten the requirement of personal loans.
- D. The central bank buys government bonds from the public.

2022/DSE/I/33

The diagram below shows the money demand and money supply curves of an economy. The original equilibrium point is at E.



Suppose most of the employers in the economy change the payment of salaries from monthly to bi-weekly. At the same time, the commercial banks tend to hold more excess reserves. The new equilibrium point will be at _____.

- A. A
- B. B
- C. C
- D. D

2022/DSE/I/35

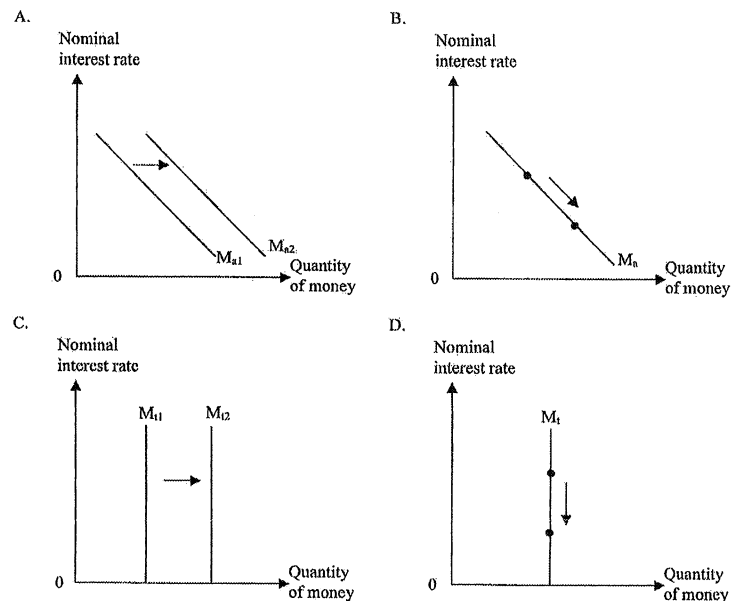
The nominal interest rate on a one-year deposit is 1% and the inflation rate is 3%. The cost of holding cash is _____ and the real rate of return of holding cash is _____.

- A. 1%.....-3%
- B. 1%.....-2%
- C. 3%.....-3%
- D. 3%.....-2%

2023/DSE/I/29

Suppose the stock market becomes more volatile. Which of the following diagrams best illustrates the effect of the above change on the money market?

M_a = asset demand for money
 M_t = transaction demand for money



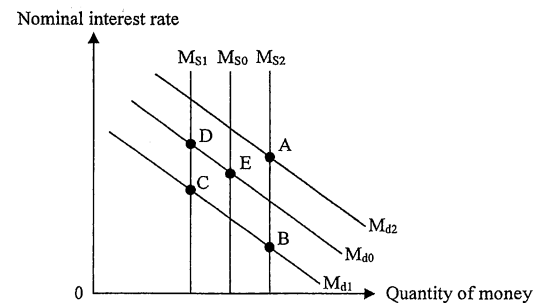
2024/DSE/I/27

If there is an increase in the tax allowance of salaries tax, transactions demand for money will _____ and the equilibrium nominal interest rate will _____.

- A. increase.....increase
- B. increase.....decrease
- C. decrease.....increase
- D. decrease.....decrease

2025/DSE/I/33

The diagram below shows the money demand and money supply curves of an economy. The original equilibrium point is at E.



Suppose more and more people in the economy like to make payments for daily expenses using wallets. At the same time, the central bank of the economy performs an open market purchase government bonds. The new equilibrium point in the above diagram will be at point _____.

- A. A
- B. B
- C. C
- D. D

Short & Structured Questions

1991/AL/II/1

'The real interest rate is the opportunity cost of holding money.' Explain this statement. (10 marks)

2002/AL/II/3(a)

In microeconomics, we learn that the demand curve for any commodity shows the relationship between its price and quantity demanded. In macroeconomics, however, the demand curve for money shows the relationship between the interest rate and the quantity demanded of money.

Can we interpret the interest rate as the 'price' of holding money? Why or why not? (4 marks)

2003/AL/II/4

Money is commonly believed to be the most liquid and perhaps the safest asset on Earth.

(a) What is meant by liquidity? (2 marks)

(b) Explain why money is not necessarily a 100% risk-free asset. (4 marks)

(c) Why are people willing to hold money even though its expected rate of return is lower than that of other assets (such as bonds and stocks)? (4 marks)

2009/AL/II/2

(c) How are the real rate of interest and the nominal rate of interest related to the inflation rate? Explain clearly whether the inflation rate is expected or actual. (3 marks)

(d) Which of these two interest rates can be interpreted as the opportunity cost of holding money? Explain. (4 marks)

2020/DSE/II/9A

Ocean Park and Hong Kong Disneyland are the two large theme parks in Hong Kong.

(a) What is the market structure of the theme park industry in Hong Kong? List **TWO** features of this market structure. (3 marks)

2023/DSE/II/10a

In 2022, the Hong Kong Financial Secretary announced the issuance of Silver Bonds for citizens aged 60 or above to subscribe. The nominal interest rate of the Silver Bonds is equal to the actual inflation rate in Hong Kong, subject to a minimum of 4%.

(a) From the viewpoint of senior citizens, explain **ONE** advantage and **ONE** disadvantage of holding Silver Bonds over holding cash. (4 marks)

5.3 THE QUANTITY THEORY OF MONEY (QTM)

Multiple Choice Questions

1990/AL/II/14

Consider the following data of a hypothetical economy:

Year	Money Stock (\$ million)	GDP (\$ million, current prices)
1	45	400
2	50	600

Which of the following statements about the economy must be correct?

- A. There was a fall in real GDP.
- B. There was a fall in the general price level.
- C. There was a rise in the income velocity of money.
- D. There were fluctuations in the demand for money.

1990/AL/II/26

The Quantity Theory implies that in the short-run a change in the money stock will affect

- A. real output only.
- B. the price level only.
- C. both the real output and the price level.
- D. the income velocity of money.

1991/AL/II/14

During Christmas and Chinese New Year, people tend to carry more cash. Assuming banks do not hold excess reserves, there will be

- A. a decrease in the money supply.
- B. an increase in the money supply.
- C. no change in the money supply but a higher velocity of circulation.
- D. no change in the money supply but a higher demand for goods and services.

1991/AL/II/16

Which of the following ratios gives the correct definition of the velocity of the circulation of money?

- A. nominal GNP to the stock of money
- B. nominal GNP to the flow of money
- C. real GNP to the stock of money
- D. real GNP to the flow of money

1992/AL/II/20

The equation of exchange

- (1) is an identity which cannot be refuted.
 - (2) is valid only when the economy is at full employment.
 - (3) predicts that money affects both the price level and real output in the short run and only real output in the long run.
 - (4) state that total expenditure is always equal to total output value.
- A. (1) and (3) only
B. (1) and (4) only
C. (2) and (3) only
D. (2) and (4) only

1994/AL/II/17

According to the equation of exchange, if the money supply is fixed at a time when both the nominal and the real income are increasing, we can conclude that

- A. full employment is achieved.
B. the unemployment rate is rising.
C. the velocity of the circulation of money is falling.
D. the velocity of the circulation of money is rising.

1994/AL/II/22

Given that the velocity of money and the real output remain unchanged, an increase in the money supply

- A. will decrease the nominal rate of interest.
B. decrease the inflation rate.
C. increase the real rate of interest.
D. increase the price level.

1994/AL/II/24

Inflation will occur when

- A. the government carries out expansionary policies.
B. the growth rate of money is greater than the growth rate of real output.
C. the income of the economy grows.
D. the prices of some of the goods start to rise.

1995/AL/II/18

The Quantity Theory of Money is

- A. always true because total expenditure are always equal to total output.
B. valid because the price level is rigid in the short run.
C. valid because it is an identity.
D. None of the above

1996/AL/II/14

Which of the following statements about the quantity theory of money are correct?

- (1) Nominal income increases at the same rate as money supply.
 - (2) Velocity of circulation of money is assumed to be constant.
 - (3) The government cannot change the money supply.
- A. (1) and (2) only.
B. (1) and (3) only.
C. (2) and (3) only.
D. All of the above.

1996/AL/II/20

If the velocity of circulation of money is constant, an increase in the money supply will lead to an increase in

- A. the price level.
B. real output.
C. nominal value of output.
D. None of the above

1997/AL/II/12

The classical quantity theory of money

- (1) predicts that a change in the money supply affects the price level only.
 - (2) is always true.
 - (3) assumes that the velocity of money circulation is constant.
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3) only

1997/AL/II/22

The equation of exchange

- A. assumes that the velocity of money circulation is predictable.
B. regards real output as more or less constant.
C. explains the effects of changes in the stock of money on the price level.
D. cannot be refuted.

1998/AL/II/14

According to the equation of exchange, the money supply grows more slowly than the nominal gross national product (GNP), we can conclude that

- A. the inflation rate is rising.
B. the unemployment rate is rising.
C. the velocity of circulation is rising.
D. the growth rate of real GNP is higher than the inflation rate.

1999/AL/II/14

The equation of exchange says that

- A. the velocity of circulation of money is constant.
B. nominal income will increase at the same rate as money supply.
C. the economy is producing at the full employment level.
D. None of the above

2000/AL/II/16

According to the equation of exchange, if money supply is fixed, which of the following is correct?

- A. Price level must be constant.
- B. Both price level and real output must be constant.
- C. The velocity of circulation of money will change at the same rate as real output.
- D. None of the above

2000/AL/II/22

Which of the following statements concerning money supply and inflation is correct?

- A. Any upward pressure on price level must be the result of an increase in money supply.
- B. An increase in aggregate demand must be accompanied by an increase in money supply and inflation rate.
- C. There can never be a simultaneous decrease in real output and increase in price level if the money supply does not decrease.
- D. None of the above

2001/AL/II/23

According to the equation of exchange, when the money supply is fixed,

- A. the growth rate of nominal income is constant.
- B. the growth rate of real output is the same as the inflation rate.
- C. the growth rate of nominal income is the same as the growth rate of the velocity of circulation of money.
- D. the inflation rate is zero.

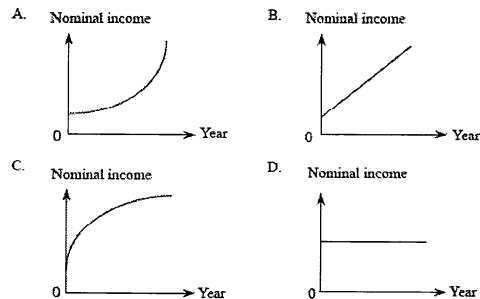
2002/AL/II/19

According to the equation of exchange, if money supply grows at the same rate as nominal income, we can conclude that

- A. the price level is rising.
- B. real output is constant.
- C. the velocity of circulation of money is constant.
- D. All of the above

2002/AL/II/23

If the velocity of circulation of money is constant and the money supply increases by a fixed amount each year, which of the following diagrams shows the value of nominal income over time?



2003/AL/II/11

According to the equation of exchange, if money supply grows during a time of deflation, it is possible that

- A. the velocity of circulation of money and real output decline at the same rate.
- B. the velocity of circulation of money and real output grow at the same rate.
- C. the growth rate of the velocity of circulation of money is higher than that of real output.
- D. the growth rate of the velocity of circulation of money is less than that of real output.

2004/AL/II/19

Consider the following data on an economy:

Year	Money Supply (\$ million)	GDP (\$ million, current prices)
1	45	400
2	50	600

From year 1 to year 2, which of the following statements about the economy must be correct?

- A. There was a rise in real GDP.
- B. There was a rise in the general price level.
- C. There was a rise in the velocity of circulation of money.
- D. The demand for money curve has shifted to the right.

2005/AL/II/14

The ratio of the value of transactions in an economy during a given period to the stock of money in that period measures

- A. money demand.
- B. the rate of growth of money supply.
- C. the velocity of circulation of money.
- D. the money multiplier.

2005/AL/II/18

Suppose the velocity of circulation of money is held constant. According to the equation of exchange, if the growth rate of money supply is smaller than that of the real gross national product (GNP), we can conclude that

- A. there is deflation.
- B. the inflation rate is falling.
- C. the unemployment rate is rising.
- D. the growth rate of real GNP is higher than the inflation rate.

2005/AL/II/21

When the velocity of circulation of money is constant, an increase in the money supply will lead to

- A. inflation.
- B. deflation.
- C. an increase in real output.
- D. an increase in nominal output.

2007/AL/II/11

An increase in the velocity of circulation of money will

- A. have no effect on real output whether or not money supply and price level are constant.
- B. lead to a rise in nominal output in the absence of changes in money supply.
- C. result in an increase in price level if the economy attains full employment.
- D. result in decrease in money supply if price level grows at the same rate as real output.

2008/AL/II/18

Which of the following statements about the velocity of circulation of money is correct?

- A. Velocity of circulation of money is measured by the ratio of nominal gross domestic product (GDP) to nominal money stock.
- B. The growth rate of velocity of money can be positive in some years and negative in others.
- C. The growth rate of velocity of circulation of money is assumed to be zero in the classical quantity theory of money.
- D. All of the above

2009/AL/II/22

Consider the following data of an economy.

	Year 1	Year 2
Money supply (\$)	40 million	48 million
Velocity of circulation of money	5	5.5
Real output (unit of goods)	20 million	24 million

According to the equation of exchange, what is the inflation rate of Year 2?

- A. 8%
- B. 9.1%
- C. 10%
- D. 11%

2011/AL/II/24

If the real output is decreasing at a faster rate than the velocity of circulation of money,

- A. money supply will be increasing at a rate slower than that of the price level.
- B. money supply will be decreasing at a rate slower than that of the price level.
- C. money supply will increase when there is inflation.
- D. there will be deflation when money supply remains unchanged.

2012/AL/II/16

If an economy attains full employment, an increase in money supply will increase _____.

- A. the nominal interest rate
- B. the real interest rate
- C. the level of nominal output.
- D. the level of real output

2012/AL/II/20

Which of the following statements about the equation of exchange is correct?

- A. It predicts that money is neutral.
- B. It still holds even if there is a change in institutional factors.
- C. It predicts that a 1% increase in money supply leads to a 1% increase in the price level.
- D. It assumes that the technological level is constant.

2013/DSE/II/32

The real output of an economy grows at a lower rate than the money supply. According to the quantity theory of money, we can conclude that

- (1) the price level is increasing.
- (2) the unemployment rate is decreasing.
- (3) the velocity of circulation of money is decreasing.
- (4) the nominal output is increasing.

- A. (1) and (2) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (3) and (4) only

2014/DSE/II/37

Suppose the velocity of circulation of money remains constant. If a central bank reduces money supply by 10%,

- A. the price level will decrease by 10%.
- B. real output will decrease by 10%.
- C. nominal output may decrease by less than 10%.
- D. real output may decrease by less than 10%.

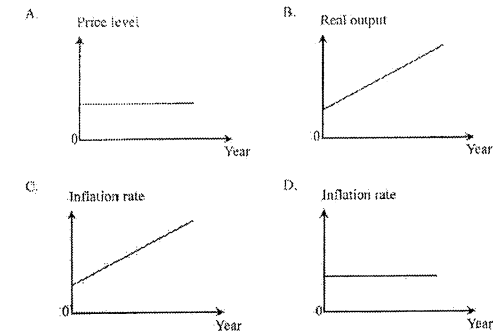
2015/DSE/II/33

The quantity theory of money implies that

- A. an increase in money supply will lead to a rise in price level when real output is falling.
- B. the economy is always at the full employment output level.
- C. an increase in money supply will lead to a decrease in the velocity of circulation of money when real output is kept constant.
- D. an increase in money supply will lead to a same-proportional increase in real output.

2016/DSE/II/34

According to the classical quantity theory of money, which of the following diagrams is correct when money supply is growing at a constant percentage each year?



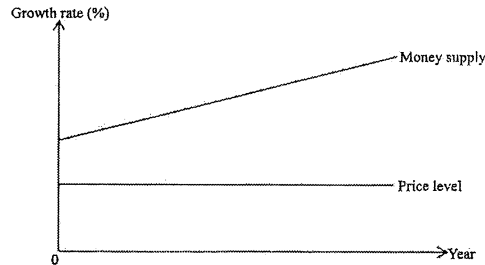
2017/DSE/I/36

According to the quantity theory of money, if a central bank increases money supply,

- A. the price level will increase.
- B. real output will remain constant.
- C. nominal output will increase.
- D. the unemployment rate will decrease.

2018/DSE/I/37

Refer to the following diagram.



According to the quantity theory of money, which of the following statements is correct?

- A. The inflation rate is zero.
- B. The growth rate of real output is increasing.
- C. The growth rate of money supply is constant.
- D. The growth rate of nominal income is constant.

2019/DSE/I/35

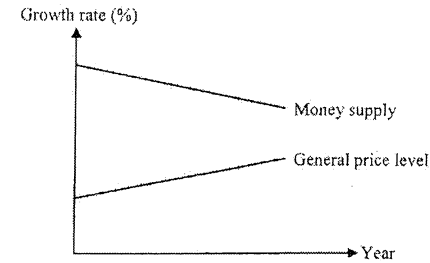
Which of the following statements about quantity theory of money are correct?

- (1) If money supply is growing too fast relative to the supply of goods in the economy, inflation will occur.
- (2) If money supply increases, nominal output will increase by the same percentage.
- (3) If inflation rate is constant, real output will grow at the same percentage as money supply.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2021/DSE/I/38

Study the following diagram.



According to the quantity theory of money, which of the following statements is correct?

- A. Real output is increasing.
- B. Nominal output is decreasing.
- C. Money supply is decreasing.
- D. The velocity of circulation of money is decreasing.

2023/DSE/I/37

According to the classical quantity theory of money, if the money supply of an economy increases by 8%, _____.

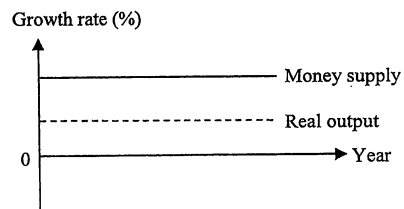
- A. the government's income tax revenue will increase by 8%
- B. the nominal output will increase by 8%
- C. the real output will increase by 8%
- D. the price level may increase by less than 8%

2024/DSE/I/37

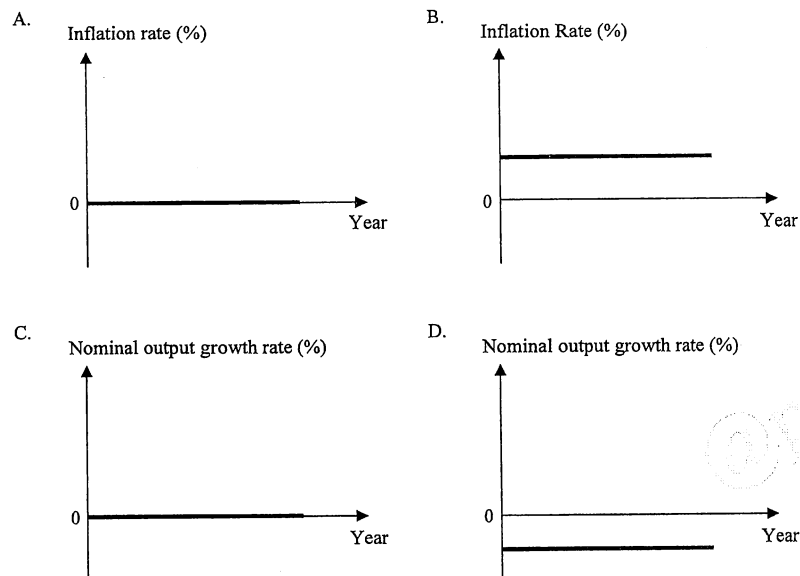
Which of the following about the quantity theory of money is correct?

- A. An increase in money supply will not affect the nominal output in the long run.
- B. If the money supply growth rate is constant, the price level will also be constant in the long run.
- C. If the price level is constant, a decrease in real output will lead to a decrease in money supply.
- D. If the real output growth rate is zero, the price level growth rate will be equal to the money supply growth rate.

Study the following diagram.



Based on the above information, which of the following is an implication of the quantity theory of money?



Short & Structured Questions

1990/AL/II/8(a)(ii)

Explain whether inflation would occur in the following situations:

a continuous increase in the money supply when the economy is also growing.

(8 marks)

1991/AL/II/2

'The classical Quantity Theory of Money is a theory of full employment.' Do you agree? Explain your answer. (10 marks)

1993/AL/II/4

If the national income and the money supply of a country grow at 5% and 10% a year respectively, what is the rate of inflation predicted by the Quantity Theory of Money? Explain. (8 marks)

1999/AL/II/4

(a) Milton Friedman once made the statement, 'Inflation is always and everywhere a *monetary* phenomenon.' In what sense do you think inflation is related to monetary factors? (4 marks)

(b) Using the quantity theory of money, explain why, in the absence of changes in money supply, inflation can also be 'caused' by real factors such as changes in real output. (4 marks)

2000/AL/II/8

(a) 'If the velocity of circulation of money is constant, we can predict the impact of changes in money supply on nominal income. However, to know the impact of changes in money supply on price level, we need an additional assumption on the behaviour of real income.' Discuss. (6 marks)

(b) Consider the following table.

Year	1	2	3
Money Supply	\$100	\$110	\$121

Suppose the velocity of circulation of money is constant.

(i) Find the growth rate of nominal income in year 2 and year 3. (3 marks)

(ii) Suppose the growth rates of real income in year 2 and year 3 are 0% and 3% respectively. Find the inflation rates in year 2 and year 3. (2 marks)

(c) Based on the above answers, explain the rationale behind the policy of setting the growth of money supply at a specific level. (2 marks)

2002/AL/II/2(a)

State whether each of the following statements is true or false, and provide a brief explanation to support your answer.

'The quantity theory of money predicts that inflation is not necessarily a consequence of money growth.' (5 marks)

2007/AL/II/3(b)

What is meant by the velocity of circulation of money? How can we measure such velocity in practice? (2 marks)

2010/AL/II/2(c)

Explain why the product of the nominal stock of money (M) and the velocity of circulation (V) is always equal to the product of the price level (P) and real income (y) – i.e., $MV = Py$. How can we use this relation as a theory (to identify the various sources) of inflation? (6 marks)

The following table shows the changes in the individual income tax system in China effective from October 2018.

Average tax rate	Range of monthly taxable income, in Renminbi (RMB)	
	Old brackets	New brackets
3%	Less than or equal to 1 500	Less than or equal to 3 000
10%	1 501 – 4 500	3 001 – 12 000
20%	4 501 – 9 000	12 001 – 25 000
25%	9 001 – 35 000	25 001 – 35 000
30%	35 001 – 55 000	Unchanged
35%	55 001 – 80 000	Unchanged
45%	Greater than 80 000	Unchanged

- (b) Suppose there is a deflationary (output) gap in China economy. With the aid of an AS-AD diagram, explain how the above change of the individual income tax system would affect the deflationary (output) gap in the short run. (7 marks)
- (c) To achieve the same effect on the deflationary (output) gap as in part (b), an economist suggested the government should lower the required reserve ratio of banks instead of implementing the above change in tax system. Discuss the suggestion by giving **ONE** argument **FOR** and **ONE** argument **AGAINST** it. (4 marks)

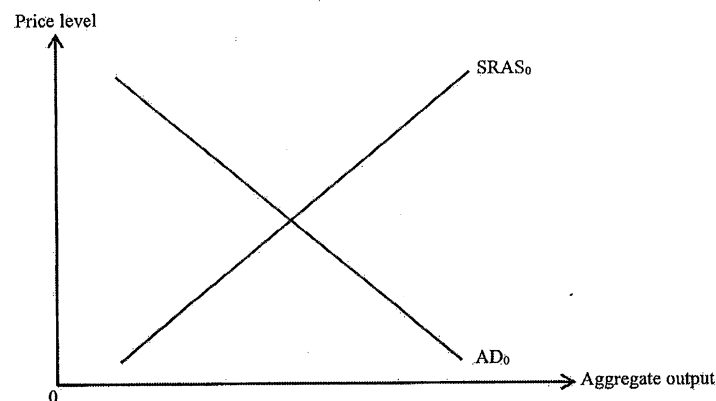
Ocean Park and Hong Kong Disneyland are the two large theme parks in Hong Kong.

- (d) The contribution of the infrastructure development of Ocean Park to Hong Kong's GDP in 2019 could be smaller than the total amount invested in the two hotels and the water park. Explain why the statement may be correct with **TWO** reasons. (4 marks)

There exists a deflationary (output) gap in a country.

- (b) To attract travellers, the government relaxes the quarantine requirements for inbound tourists. With the aid of Figure 1, explain how the deflationary (output) gap would be affected. (5 marks)

Figure 1



6.2 LONG RUN AND SHORT-RUN EQUILIBRIUM

Multiple Choice Questions

1994/AL/II/9

The existence of a deflationary gap indicates that

- (1) the equilibrium income is below the full employment income.
- (2) a surplus budget should be used to eliminate the gap.
- (3) the economy has insufficient aggregate demand to achieve full employment.
- (4) the real income is smaller than the nominal income.

- A. (1) and (3) only
 B. (1) and (4) only
 C. (2) and (3) only
 D. (2) and (4) only

1997/AL/II/21

Which of the following policies can be used to offset the effect of an increase in the saving of the households on the national income of an economy?

- A. an increase in the tax rate.
- B. a decrease in money supply.
- C. sales of government bonds by the central bank.
- D. a cut on the required reserve ratio of the banking sector.

1999/AL/II/4

The existence of an inflationary gap indicates that

- A. there is a gap between the actual inflation rate and the expected inflation rate.
- B. there is a gap between real income and nominal income, and the gap is caused by inflation.
- C. there is excess demand for aggregate output at the full employment level of income, which therefore falls short of the equilibrium level of income.
- D. All of the above.

2000/AL/II/20

Which of the following can raise the employment level of an economy?

- (1) export promotion
- (2) increase in foreign investment in the economy
- (3) reduction in the income tax rate

- A. (1) and (2) only
 B. (1) and (3) only
 C. (2) and (3) only
 D. (1), (2) and (3)